

Accountancy — Class XII

Examination Paper (Partnership)

Total Marks: _____

Date: _____

Time: 3 Hours. Maximum Marks: 60. All questions are compulsory. Section A: 10 MCQs (1 mark each). Section B: 5 Very Short (2 marks each). Section C: 5 Short (3 marks each). Section D: 2 Case Studies (5 marks each). Section E: 3 Long Answer (5 marks each). Section F: Answer Key (Teacher only).

Section A — Multiple Choice Questions

10 × 1 = 10 marks

Q1. In the absence of a partnership deed, profits are shared:

- | | |
|--|--|
| (a) In proportion to capital contributed | (b) Equally among all partners |
| (c) As decided by the senior partner | (d) According to prevailing RBI guidelines |

Q2. Assertion (A): On retirement of a partner, goodwill of the firm is valued.

Reason (R): The retiring partner is compensated for his share in the goodwill built up during his tenure.

- | | |
|---|---|
| (a) Both A and R are true and R is the correct explanation of A | (b) Both A and R are true but R is not the correct explanation of A |
| (c) A is true but R is false | (d) A is false but R is true |

Q3. Assertion (A): Interest on capital is allowed even in the absence of a partnership deed.

Reason (R): The Partnership Act specifically provides for the payment of interest on capital only if provided in the partnership deed.

- | | |
|---|---|
| (a) Both A and R are true and R is the correct explanation of A | (b) Both A and R are true but R is not the correct explanation of A |
| (c) A is true but R is false | (d) A is false but R is true |

Q4. Calculate the interest on capital @ 10% p.a. for capital of Rs.399000.

- | | |
|---------------|--------------|
| (a) Rs.325000 | (b) Rs.32000 |
| (c) Rs.32000 | (d) Rs.64000 |

Q5. Under Section 4 of the Indian Partnership Act, 1932, partnership is defined as:

- | | |
|--|---|
| (a) A legal entity created by registration with the Registrar of Firms | (b) A relation between persons who agree to share profits of a business carried on by all or any of them acting for all |
| (c) A company incorporated under the Companies Act, 2013 | (d) An association of persons formed for charitable purposes |

Q6. Which of the following statements is TRUE about limited liability partnership (LLP)?

- | | |
|--|--|
| (a) Partners have unlimited personal liability for all debts | (b) Liability of each partner is limited to his contribution |
| (c) No partner can be a working partner | (d) LLP must be registered under the Companies Act |

Q7. Which of the following is NOT an essential feature of a partnership?

- | | |
|--|----------------------------------|
| (a) Two or more persons | (b) Agreement among the partners |
| (c) Separate legal entity distinct from partners | (d) Sharing of profits |

Q8. Mutual agency means:

- | | |
|---|--|
| (a) Each partner can bind the others by his acts in the ordinary course of business | (b) Partners act as agents of the firm only |
| (c) Only the managing partner can act for the firm | (d) Partnership must be registered with SEBI |

Q9. A and B are partners sharing profits in the ratio of 3:2. If the total profit for the year is Rs.200000, what is A's share?

- (a) Rs.420000
- (c) Rs.525000

- (b) Rs.280000
- (d) Rs.140000

Q10. A partner withdrew Rs.58000 during the year. Interest on drawings @ 6% p.a. would be approximately:

- (a) Rs.10080
- (c) Rs.3360

- (b) Rs.6720
- (d) Rs.1680

Section B — Very Short Answer

5 × 2 = 10 marks

Q11. State any two rights of a partner.

Q12. Give the journal entry for interest on capital provided in the partnership deed.

Q13. What is meant by "Reconstitution of a firm"?

Q14. What is meant by "Mutual Agency" in a partnership firm?

Q15. Define the term "Partnership" as per the Indian Partnership Act, 1932.

Section C — Short Answer

5 × 3 = 15 marks

Q16. Explain the accounting treatment of goodwill on (i) admission, (ii) retirement, and (iii) change in profit-sharing ratio of partners.

Q17. X, Y and Z are partners sharing profits in the ratio 5:3:2. Z dies on 1st July 2024. His share of goodwill is valued at Rs.234000. Pass the journal entry in the books of the firm for Z's share of goodwill.

Q18. A and B started a partnership on 1st April with capitals of Rs.269000 and Rs.143000 respectively. They share profits in the ratio of capitals. Calculate the interest on capital @ 8% p.a. for each.

Q19. Explain any three differences between the fixed capital method and the fluctuating capital method. Use capitals of Rs.393000 and Rs.313000 in your example.

Q20. From the following Trial Balance excerpts, prepare a Profit and Loss Appropriation Account for the year ended 31st March 2025:

Net profit Rs.132000;

Interest on capital @ 10% p.a. (A's capital Rs.224000, B's capital Rs.282000);

Salary to A Rs.65000 p.a.;

Profit-sharing ratio: A and B = 3:1.

Section D — Case Study / Source-Based

2 × 5 = 10 marks

Q21. Case Study 1:

P and Q were partners in a firm sharing profits in the ratio 4:1. They decided to admit R as a new partner. The new profit-sharing ratio among P, Q and R was agreed as 4:1:1. The goodwill of the firm on the date of admission was valued at Rs.209000.

P retained 0.80 of his original share and Q retained 0.20. R was allotted the new share of 0.17 in the firm.

- Calculate the sacrificing ratio of the old partners.
- Show how goodwill of Rs.2,09,000 is to be distributed.
- Pass the journal entry on R's admission for goodwill adjustment.
- What is the accounting treatment if R fails to bring his share of goodwill in cash?
- Identify the section of the Partnership Act that governs the rights of incoming partners.

Q22. Case Study 2:

X and Y are partners sharing profits and losses equally. Their capitals on 1st April 2024 stood at Rs.378000 and Rs.238000 respectively. They admit Z into partnership from 1st April 2024 on the following terms:

- Z brings in capital of Rs.309000.
 - Z acquires 1/5th share in the future profits of the firm.
 - Z brings in his share of goodwill in cash, valued at Rs.231000.
 - The old partners decide to show reserves of Rs.49000 existing in the books.
- The net profit for the year ending 31st March 2025 was Rs.180000.
- Calculate the new profit-sharing ratio of X, Y and Z after Z's admission.
 - Pass the journal entry for Z's capital brought in.
 - Show how goodwill brought in cash is distributed among the sacrificing partners.
 - Pass the journal entry for writing off existing reserves.
 - Compute the amount of divisible profit that each partner will receive.

Section E — Long Answer

3 × 5 = 15 marks

Q23. A and B, partners sharing profits and losses in the ratio 3:2, dissolved their partnership firm on 31st March 2025.

On the date of dissolution, the books showed the following balances:

Cash at Bank Rs.61,000 (Dr.); Sundry Assets Rs.477,000; Sundry Liabilities Rs.119,000; Loan from Bank Rs.67,000; A's Capital Rs.358,000; B's Capital Rs.381,000; Reserve Fund Rs.43,000 (Cr.).

The following transactions took place:

- Assets were realised at Rs.202,000.
- Liabilities were settled at a discount of Rs.5,000.
- A agreed to take over an asset at Rs.63,000 (book value).
- Realisation expenses of Rs.10,000 were paid by the firm.

Prepare: Realisation Account, Partners' Capital Accounts, and Bank Account to close the books of the firm.

Q24. A, B and C are partners in a firm sharing profits and losses in the ratio 5:2:1.

Capital balances as on 1st April 2024:

A's Capital = Rs.780,000, B's Capital = Rs.537,000, C's Capital = Rs.380,000.

C retires on 31st March 2025 on the following terms:

(a) Goodwill of the firm is to be valued at 2 years' purchase of the average profits of the last 3 years. Profits for the three preceding years were Rs.154,000, Rs.217,000 and Rs.256,000 respectively.

(b) A Revaluation Account is to be opened. A piece of land was undervalued by Rs.38,000; an unrecorded liability of Rs.21,000 was identified.

(c) The new profit-sharing ratio between A and B is to be 5:2.

Prepare in the books of the firm:

(i) Revaluation Account;

(ii) Partners' Capital Accounts (showing settlement of C's retirement); and

(iii) The journal entry for goodwill settlement.

Q25.

From the following Trial Balance of M/s Patel Brothers as on 31st March 2025, prepare Trading and Profit & Loss Account for the year ended 31st March 2025 and a Profit & Loss Appropriation Account:

Trial Balance as on 31st March 2025:

Particulars	Debit (Rs.)	Credit (Rs.)
Cash in Hand		3,104,000
Opening Stock	142,000	
Purchases & Sales	1,221,000	1,991,000
Sales Return / Return Inward	12,000	
Purchase Return		13,000
Salaries & Wages	104,000	
Rent	70,000	
Power & Fuel	18,000	
Advertising	15,000	
Freight Inward	12,000	
Carriage Outward	14,000	
Insurance Premium	9,000	
Sundry Expenses	10,000	
Bad Debts	9,000	
A's Drawings	56,000	
B's Drawings	53,000	
Sundry Debtors	257,000	
Bills Receivable	16,000	
A's Capital		710,000
B's Capital		515,000
Sundry Creditors		188,000
Bills Payable		27,000
General Reserve		64,000
Cash at Bank		62,000
Cash in Hand		1,552,000
Purchases	6,208,000	

Additional information:

- Interest on capital is to be provided at 10% p.a.
- Interest on drawings is to be charged at 6% p.a.
- Partners share profits and losses equally.
- Closing stock as on 31st March 2025 was valued at Rs.202,000.

Show all workings clearly in the Trading Account, Profit & Loss Account, and Profit & Loss Appropriation Account.

Section F — Answer Key / Working Notes (for Teacher Reference Only)

1 × 0 = 0 marks

Q26. ANSWER KEY / WORKING NOTES

— Section A (MCQ) —

A.1 (b) A.2 (c) A.3 (b) A.4 (a) A.5 (b)

A.6 (a) A.7 (b) A.8 (c)

A.9 (d) A.10 (b)

— Section B (Very Short Answer) —

B.1 Mutual agency — the key feature.

B.2 No separate legal entity.

B.3 Equally among all partners.

B.4 A new partner is entitled to share of goodwill.

B.5 Reconstitution " dissolution; ratios change after admission/retirement

— Section C (Short Answer) —

C.1 See full sentence in text.

C.2 Show workings as per the partnership deed.

C.3 Distinguish capital methods with example.

C.4 Explain acknowledgement with sample entry.

C.5 State three differences briefly.

— Section D (Case Studies) —

D.1 (a) Use 10% p.a. on each capital. (b) Profit-sharing applies after interest.

D.1 (c) Compute apportioned profit for each partner.

D.1 (d) Closing journal entry — debit profit, credit partners.

D.1 (e) State with reason.

D.2 (a) Read admission ratio from data. (b) Capital entry at agreed ratio.

D.2 (c) Cash distribution as per sacrificing ratio. (d) Reserves writing off entry.

D.2 (e) Allocate divisible profit.

D.3 Apply 2 years' average × final year profit.

D.3 Sacrificing ratio = old ratio " new ratio.

D.3 Goodwill adjustment entry — debit gaining partner, credit sacrificing partner.

— Section E (Long Answer) —

E.1:

E.1 Trading A/c:

- Dr. Opening Stock, Purchases, direct expenses

- Cr. Sales, Closing Stock

- Transfer Gross Profit to P&L (Credit side)

P&L A/c: debit indirect expenses, credit Gross Profit only.

P&L Appropriation: Interest on capital, Interest on drawings, Salary, then divide residual equally.

E.2:

E.1 Trading A/c:

- Dr. Opening Stock, Purchases, direct expenses

- Cr. Sales, Closing Stock

- Transfer Gross Profit to P&L (Credit side)

P&L A/c: debit indirect expenses, credit Gross Profit only.

P&L Appropriation: Interest on capital, Interest on drawings, Salary, then divide residual equally.

E.3:

E.1 Trading A/c — gross profit computation.

P&L A/c — net profit after indirect expenses.

P&L Appropriation A/c — interest on capital to A and B, interest on drawings from them, residual equally.

Notes:

- Bills Receivable endorsed ' excluded from realisation on dishonour.

- Carriage outward ' indirect expense ' P&L A/c

- Sales Return added back to Sales in Trading A/c

- Closing stock goes to Trading A/c credit side